

9.1 Changing economies

A country's economy is the system by which scarce resources, including goods, land, and labour, are distributed. An economy is dynamic, with forces of supply and demand that affect growth. A healthy economy is one with sustainable growth and manageable rates of inflation, unemployment, and inequality. All countries face constant challenges to the development, growth, and stability of their economies. A country's political system and type of economy will influence the path that a country follows to grow its industries and labour markets. A country's economy directly affects life within that country by determining what jobs people can have, the food people can afford to buy, and the homes people can live in.

Different industries

The way a country's workforce is divided up between the sectors is called a country's employment structure. Employment is divided into four sectors (see Table 9.1), with each representing different types of industries. Countries in the early stages of economic development (LICs) usually have a high percentage of workers in the **primary sector**. Workers in these countries mostly have jobs producing resources, such as on farms or in mines.

As a country begins developing an industrial base, where work involves turning **raw materials** into products, the **secondary sector** increases in size and complexity. As this sector matures, it drives urbanisation as jobs move from farms into cities. In this stage, these countries are considered MICs.

As the country develops services such as education, healthcare, and tourism, the **tertiary sector** expands. Growing manufacturing power improves available technology and equipment. Education means people can learn the skills needed for different types of jobs. More technology and training makes the work done in these economies more diverse and specialised. The need for advanced technology, like artificial intelligence and virtual reality, increases and the **quaternary sector** develops. In these stages, countries are considered HICs.

Table 9.1: Classification of the sectors of the economy

Primary	Secondary	Tertiary	Quaternary
The part of a country's economy that produces raw materials and agricultural goods. Jobs include: farming, mining, fishing, and forestry.	The part of a country's economy that involves processing raw materials into a more valuable manufactured item. Jobs include: factory workers.	The part of a country's economy that provides a service to consumers. Jobs include: hairdressers, electricians, and drivers.	The part of a country's economy that provides information services and knowledge-based services, where workers need specialised knowledge. Jobs include: web developers, scientific researchers, and business consultants

TASK 1: Study Source A

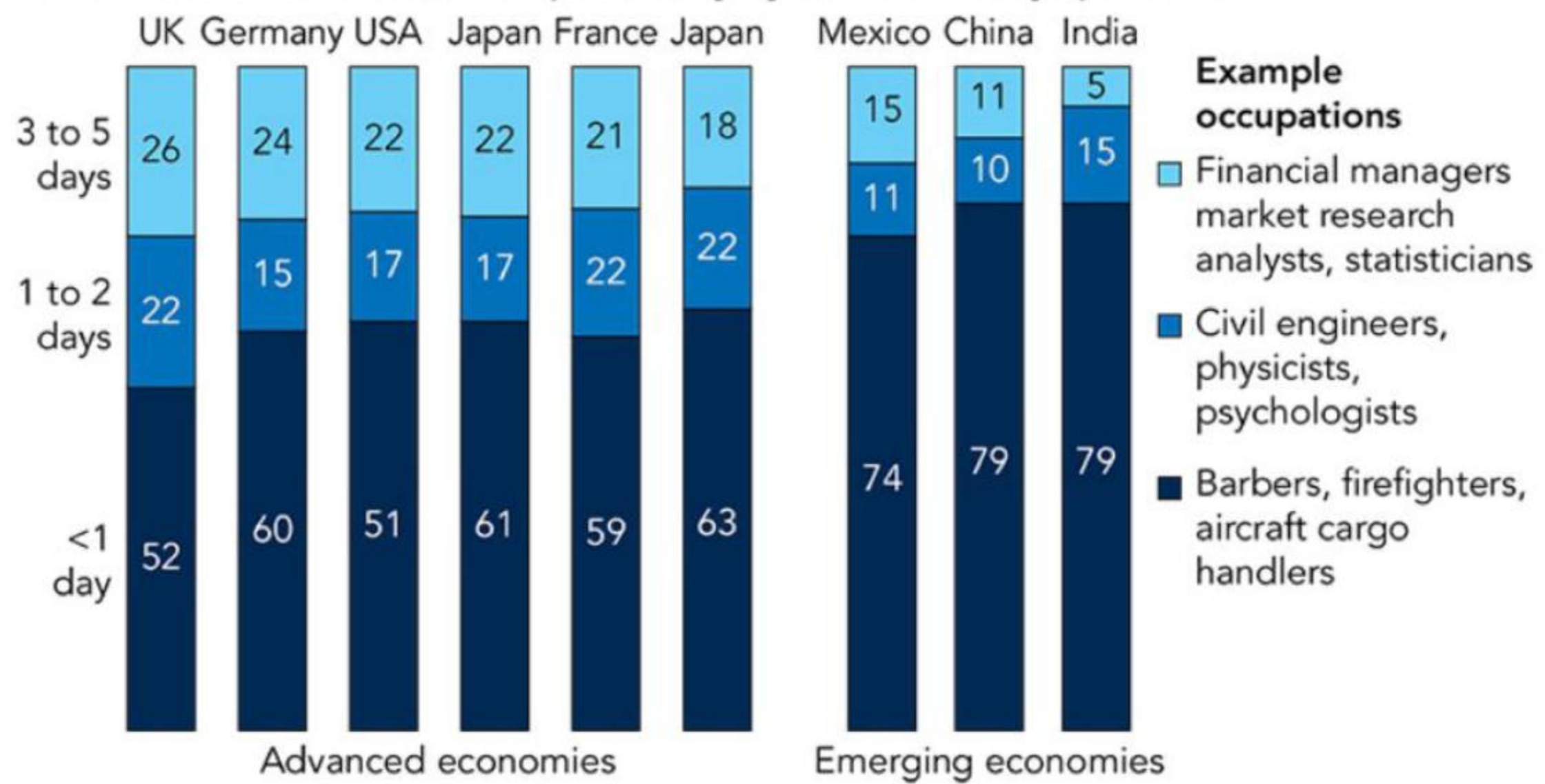
Remote workers are mostly made up of the quaternary sectors. In small groups:

- Discuss possible reasons for the lower uptake in **remote work** for LICs (labelled as 'emerging economies' in the Source).
- Discuss how you think remote working options will change in LICs over the next ten years. Consider some of the challenges companies could face with remote work.

TIP

Both the tertiary sector and quaternary sector are based on providing services. Remember that the quaternary sector involves knowledge-based services and requires a higher level of education than tertiary sector services.

Workforce with remote-work potentially by number of days per week



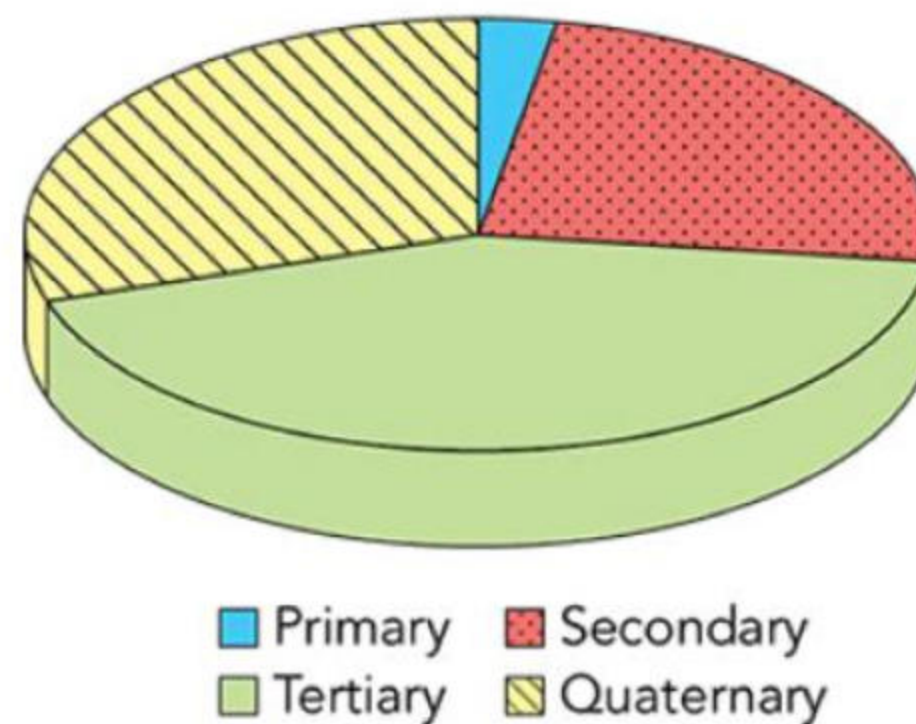
Source A: Workforce with remote work potential

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TASK 2: Study Sources B C D

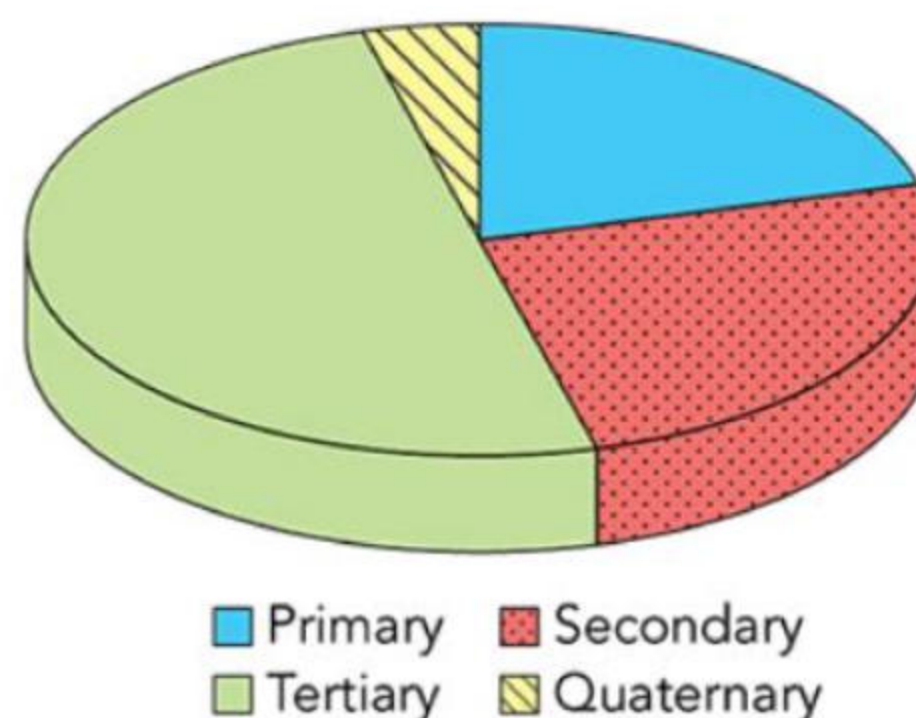
- Compare the charts** showing the employment sectors of Country A, B, and C. Indicate which country could be an LIC, MIC, or HIC. Justify your answers.
- Give an example of a country that could represent each of the countries in the graphs. Justify your answers.
- Give reasons why the employment structure is different in LICs, MICs, and HICs.

Country A



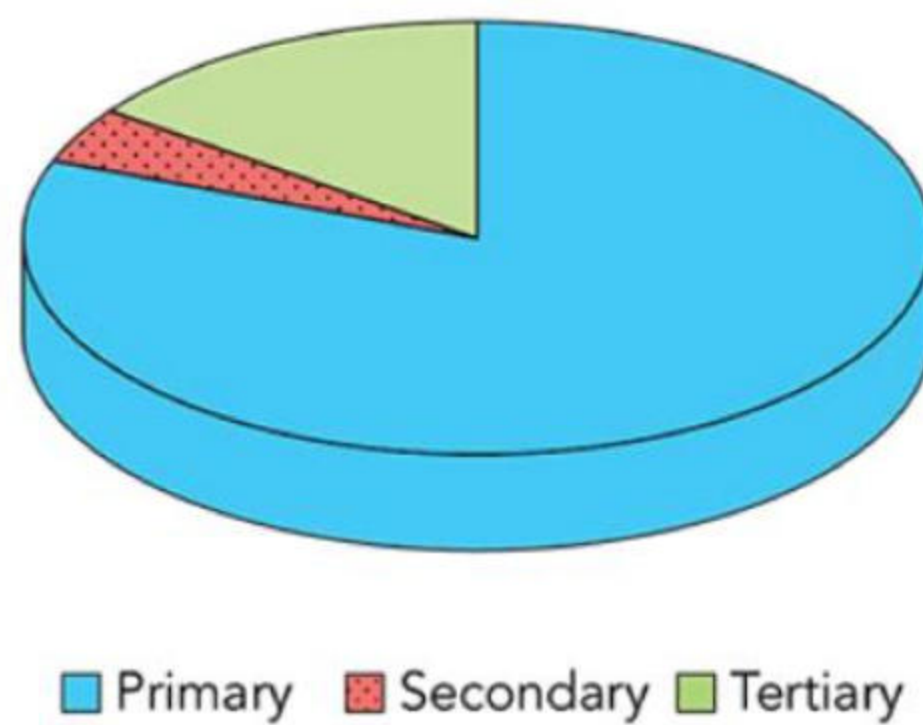
Source B: Employment sectors of Country A

Country B



Source C: Employment sectors of Country B

Country C



Source **D**: Employment sectors of Country C

The changing location and distribution of industry

As economies develop from primarily MIC characteristics towards HIC characteristics, they need different kinds of labour. For example, highly skilled, research and development, and decision-making jobs are found more readily in HICs. Low-cost production and jobs that do not require specialised skills are generally found in LICs.

As LICs integrate into the global economy, manufacturing in these economies will increase. This trend is known as the **global industrial shift**, where manufacturing processes move away from HICs towards emerging economies. This trend can be seen in the way that industrialised activity has shifted from more developed economies such as the USA and Germany to countries like India and China.

International corporations often set up factories in LICs where land and labour costs are lower. It can look like a simple decision: why wouldn't a company choose the most cost-effective way of making their product? However, there are many factors which manufacturing industries must consider when moving to LICs. Some of these factors are outlined in Table 9.2.

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Table 9.2: Push and pull factors for moving manufacturing industry to LICs

Factor	Push and pull factors for moving manufacturing industry to LICs
Land	Pull: access to low-cost land to set up factories and offices.
Labour	Pull: availability of skilled labour at a comparatively lower cost.
Raw materials	Pull: low cost, availability of, and access to raw materials.
Energy	Pull: some LICs can produce energy cheaply due to available natural resources such as solar power or coal. This can reduce the overall operating cost for a business. Push: a reliable energy supply is crucial for most industrial activity. Unreliable energy infrastructure may make some LICs unsuitable.
Transportation	Push: ease of access to ports and transportation networks is crucial for international trade. Underdeveloped infrastructure in LICs increases the challenges and cost of moving raw materials and finished products.
Markets	Pull: ease of access to new markets with an emerging consumer base and a growing population. Push: TNCs need to consider cultural differences and variations in consumer habits when entering new markets.
Political policies	Pull: LICs can encourage international investment by offering benefits such as tax exemptions or free trade zones. Policies that encourage easy entry into the market allow TNCs to compete against regional and local companies, encouraging businesses to expand into the LIC.
Technology	Push: availability of, and access to, reliable communication networks is important for most businesses. Many factories require specialised technology. These needs can pose challenges in LICs where technology is harder to access.
Communications	Push: TNCs need to accommodate challenges associated with working remotely across language barriers and time zones. In factories, TNCs must consider the language of instructions on machinery and provide translation services where appropriate.
Containerisation	Push: ease of transport and distribution using containerisation (a factor closely linked to transportation networks) can sometimes pose challenges in LICs where necessary infrastructure can be underdeveloped.

TASK 3

Study Table 9.2. Many factors affect a company's decision to expand globally. Imagine you are the owner of a clothing brand and are looking to expand into a new territory. Currently, you source most of your raw material and labour locally. You are well known in your region but are not considered an international clothing brand.

In small groups, referring to Table 9.2, rank the top three factors you would consider when selecting a country for potential expansion. Justify your ranking.

REFLECTION

How did your group agree on your ranking? Did you have different opinions? How did you deal with that?

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Massive container ships blocks Egypt's Suez Canal

In what can only be described as a nightmare scenario for world trade, the Suez Canal has been blocked by a stranded giant container ship called 'Ever Given'. The blockage could create serious problems with deliveries of goods and fuel; it is used as the main route for the shipment of liquified natural gas and oil from the Middle East to Europe. Connecting the Red Sea to the Mediterranean, the Suez Canal is a passage of vital importance, enabling vessels to move between the Middle East, Asia, and Europe. On an average day around 50 vessels, which accounts for approximately 12% of world trade, pass along the canal. So, the big question now is how long the canal will remain impassable? The alternative route for vessels is the much longer journey around the southern tip of Africa.

Source **E**: Newspaper article about the Suez Canal

TASK 4: Study Source **E**

- a What factor from Table 9.2 is the article discussing?
- b What major global markets are linked by the Suez canal?
- c What kind of cargo is transported via the Suez canal?
- d How do you think the blockage affected TNCs operating in LICs?

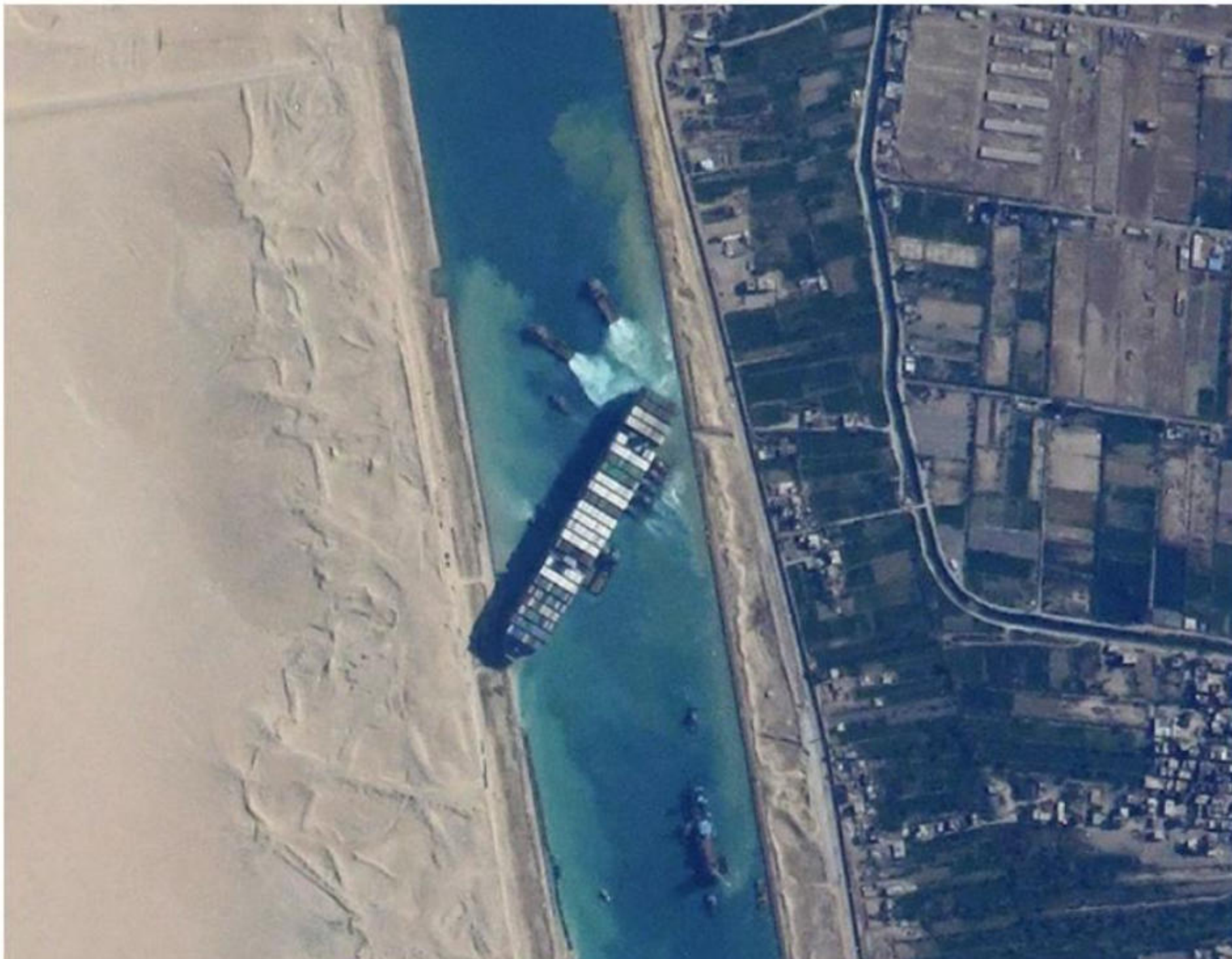


Figure 9.1: Container ship stuck in the Suez Canal